Rubber served rather effectively to obscure the unsatisfactory nature of its results for these years.

Year	U.S. Rubber common		Goodyear common	
	High	Low	High	Low
1925	97	33	50	25
1926	88	50	40	27
1927	67	37	69	29
Average of highs and lows	62		40	

More recently United States Rubber has followed the Goodyear practice of taking out of the earnings of prosperous years a reserve for future inventory shrinkage. As a result of this policy, the company somewhat understated its earnings for 1935 and 1936 but overstated them for 1937.

A More Recent Contrast. The packing industry supplies us with a more extreme divergence in the method used by two companies to handle the matter of probable future inventory losses.

Wilson and Company set up a reserve of $750,000 prior to the beginning of its 1934 fiscal year, for "Fluctuation in Inventory Valuation." This was taken partly from surplus and partly from income. In 1934 it reduced its opening inventory by this reserve, thus increasing the year's reported profit by $750,000. The S.E.C., however, required it to amend its registration statement so as to credit this amount to surplus and not to income.

On the other hand, Swift and Company reduced its reported earnings in the fiscal years 1933–1935 by $16,767,000, which was set up as a reserve for future inventory decline. In 1938 the expected decline occurred; but instead of drawing on this reserve to spare the income account, the company charged the full loss against the year's operations and then transferred $11,000,000 of the reserve directly to surplus. In this exceptional case the net income for the six-year period 1933–1938 was *understated*, since amounts were actually taken out of income and turned over to surplus.[2]

Other Elements in Inventory Accounting. The student of corporate reports must familiarize himself with two permissible variations from the

[2] Standard Statistics has restated the Swift annual reports by listing the 1933–1935 deductions for inventory declines as charges to *surplus*.